

APPENDIX C — DETERMINING INSURANCE NEEDS

The amount of life insurance a family needs depends on many variables such as family income, ages of the children, ability of the wife to earn an income, Social Security status, the standard of living you hope to provide, and outstanding debts.

This step-by-step guide (and corresponding worksheet on pages 227-228) will assist in determining your insurance requirements which will then have to be weighed against your budget. If the budget dollars are limited, it will be necessary to get as much insurance as possible for the available dollar.

STEP 1 – PRESENT INCOME PER YEAR

How much income is being provided by the breadwinner of the family? The goal is to provide for the family so that they may continue the same living standard they enjoy under this income.

STEP 2 – PAYMENTS NO LONGER REQUIRED

Family expenses should drop as a result of the death of the breadwinner. For example: a second car may no longer be required; less income (or different income) will mean less taxes; activities or hobbies would not be an expense; investments or saving may be reduced or stopped.

STEP 3 – INCOME AVAILABLE

The breadwinner's death may initiate income from some other sources. Social Security income will depend on one's eligibility which, in turn, is determined by the time in the system, amount of earnings, and ages of spouse and dependent children. Income may also be available from retirement plans, investments, annuities, et cetera.

The income-earning potential of the wife is a definite asset to the family. Ages of the children are a factor here. A minimum insurance program should provide time for obtaining or sharpening job skills if necessary.